

In addition to the foregoing the company wrote down its fixed assets to \$1 in 1933 by a charge of \$19,301,000, of which \$18,846,000 was taken out of capital account and the balance out of surplus. To the extent that depreciation charges since 1932 may have been insufficient because of this write-down (Chap. 36), the reported earnings for the period were further overstated.

4. Restatement of Earnings for 1929–1938

Earnings per income account	\$6,782,000
Less charges made to surplus	8,846,000
Earnings for period as corrected	<u>\$2,064,000(d)</u>

5. Working Capital Comparison: 1938 vs. 1928

Net working capital Dec. 31, 1928	\$11,336,000
Net working capital Dec. 31, 1938	<u>8,144,000</u>
Decrease for ten years	3,192,000
Add proceeds of sales of capital stock	<u>6,582,000</u>
Real shrinkage in working capital for period	\$9,774,000

The foregoing analysis does not require extended discussion, since most of the points involved were covered in Chaps. 31 to 36. Virtually all the charges made to surplus between 1929 and 1938 (except for the write-down of the plant account to \$1) represented a real diminution of the reported earning power of United States Industrial Alcohol during this ten-year period. It seems likely, also, that the surplus would have shrunk considerably farther if the plant account had been carried at a proper figure and appropriate depreciation charged against it since 1932. The fact that the company's working capital decreased by \$3,192,000, despite receipt of \$6,582,000 from the sale of additional stock, is further evidence that, instead of there being a surplus above dividends as reported, the company actually lost money before dividends during these ten years.⁶

Checking the Effect of Losses or Profits on the Financial Position of the Company. An example of the second aspect was given in Chap. 43, in

⁶ An analysis of the exhibit of Stewart Warner Corporation for 1925–1932, leading to similar conclusions, appeared at this point in our 1934 edition. Cf. W. A. Hosmer, "The Effect of Direct Charges to Surplus on the Measurement of Income," *Business and Modern Society*, ed. by M.P. McNair and H. T. Lewis. pp. 113–151, Harvard University Press, 1938.